

more important proven factors such as profit growth, price and volume action, and whether the company is the number one profit leader in its field with a superior product.

- You don't subscribe to a bunch of market newsletters or advisory services, and you don't let yourself be influenced by recommendations from analysts, who, after all, are just expressing personal opinions that can frequently be wrong.
- You also have to acquaint yourself with charts—an invaluable tool most professionals wouldn't do without but amateurs tend to dismiss as complicated or irrelevant.

All these vital actions are completely contrary to human nature. In reality, the stock market is human nature and crowd psychology on daily display, plus the age-old law of supply and demand at work. Because these factors have remained the same over time, it is remarkable but true that chart patterns are just the same today as they were 50 years ago or 100 years ago. Few investors know or understand this. It can be to your inspiring advantage.

In this fourth edition of *How to Make Money in Stocks*, I'm showing you right up front, in [Chapter 1](#), 100 annotated color charts of 100 of America's greatest winning stocks, covering each decade from the 1880s to the end of 2008—from the Richmond and Danville Railroad in 1885 and Northern Pacific during the famous corner of the stock in 1901, when it raced from \$115 to \$700 in one week, to Apple and Google in our twenty-first century.

There is a lot you can learn from studying these great examples. You'll see that there are such things as chart bases that have been repeated year after year with enormous success. There are 105 examples (among the 100 stocks) of classic bases that look like cups with handles when viewed from the side. Some are small, others large, and still others in between.

In addition to cups with handles, we've identified eight other distinctively different, highly successful base patterns that have occurred in cycle after cycle. Bethlehem Steel in 1915 is our first powerful high, tight flag example and served as a perfect historical precedent for later high, tight flags such as Syntex, Rollins, Simmonds Precision, Yahoo!, and Taser. All of these stocks had huge price moves.